

Decision-making guide

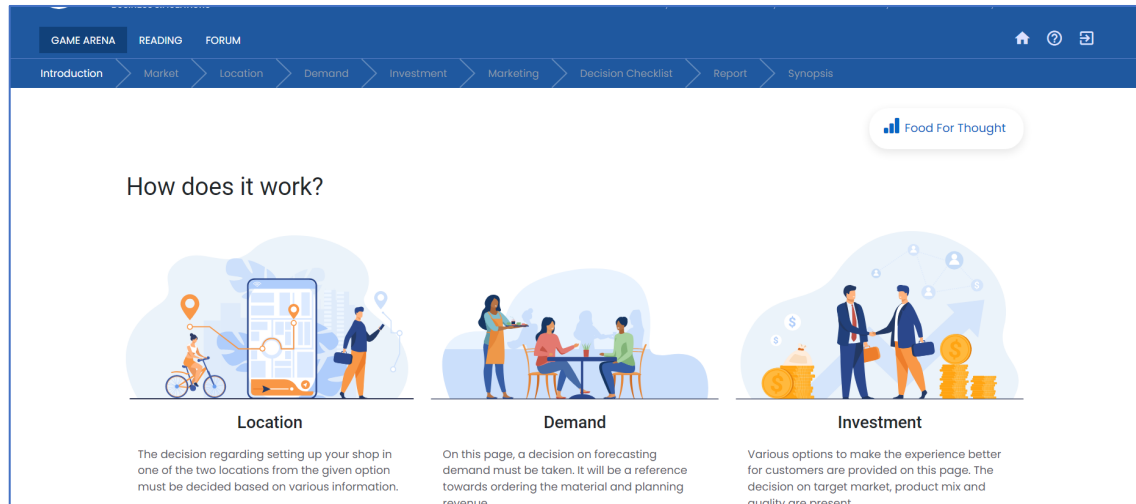
Business Basics

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Simulation platform introduction

1.1 Game Arena

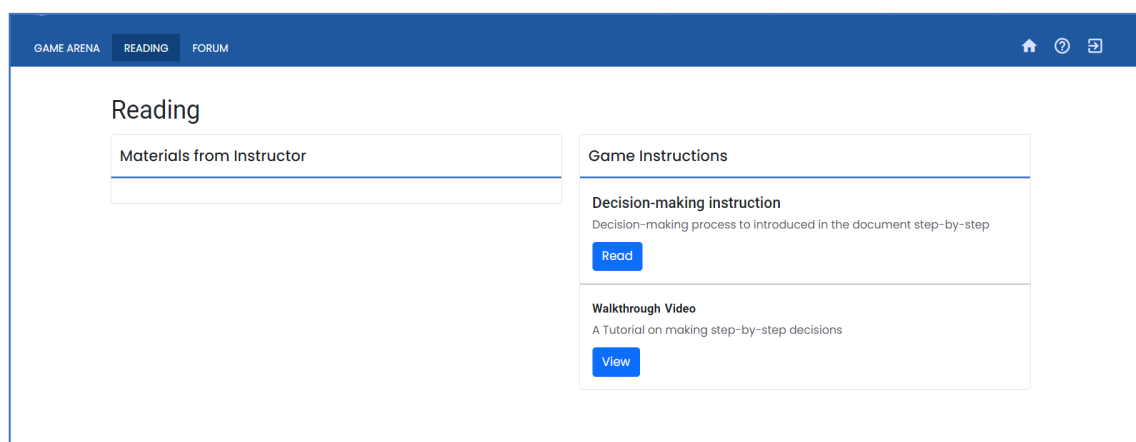


The gaming arena interface comprises various decision tabs, each categorized into market, location, demand, investment, marketing, Decision Checklist, Report, and Synopsis. Some sections must be completed first as they have an impact on other areas.

There are two primary types of input fields:

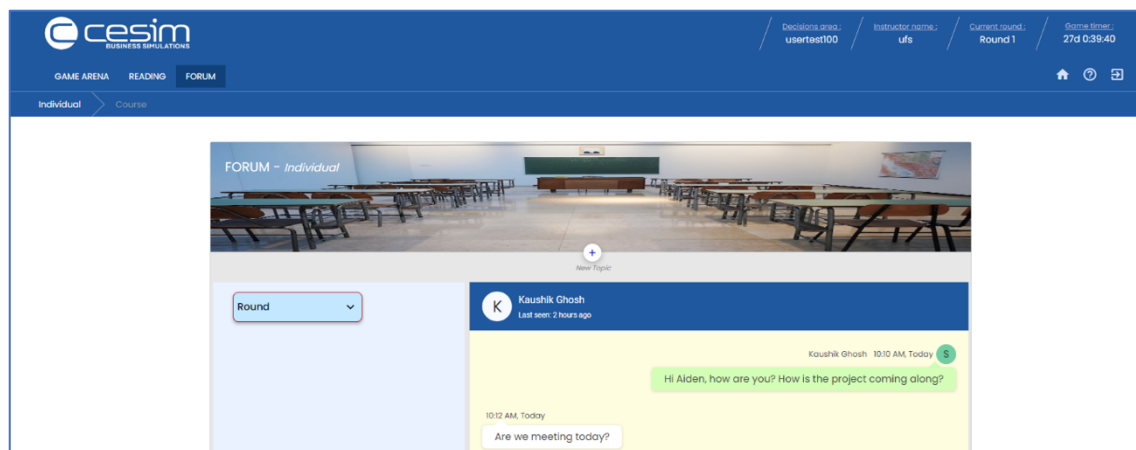
1. Decision cells: These can manifest as light blue input cells, checkboxes, or radio buttons.
2. Estimation cells: The demand forecast allows you to input estimations that serve as the foundation for the system's cost budgeting.

1.2 Readings



This section offers crucial materials that participants need to go through for active participation in the game. The primary reading material includes a decision-making guide. Instructors can choose to enhance these resources with additional materials. Additionally, there is a walkthrough video available, providing comprehensive details about the business scenario covered in the course. This video offers insights into the company, its industry, current trends, challenges, and the various decisions that need to be made.

1.3 Forum



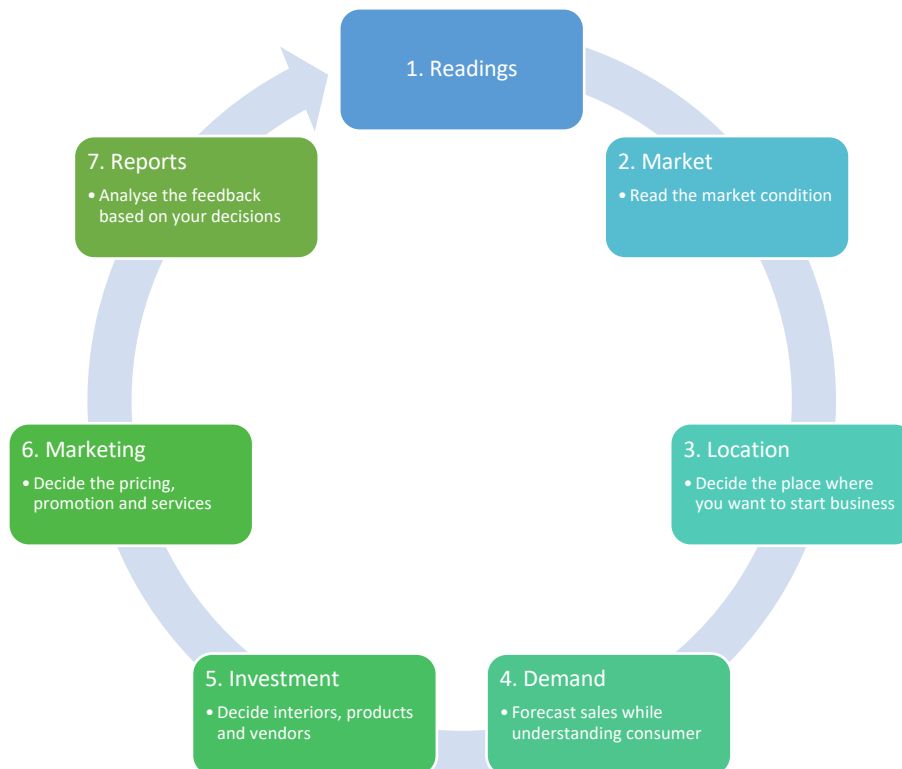
- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

The simulation aims to operate and comprehend the intricacies of small local businesses, guiding participants in making decisions in crucial areas based on fundamental principles for long-term sustainability. It further seeks to foster an understanding of the relationships between different decision-making domains and their impact on the financial aspects of the company. The success measure in the simulation is determined by the level of profitability achieved by the business and the realized profit margin.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:



Game Arena

2.1 Introduction

How does it work?

Location
The decision regarding setting up your shop in one of the two locations from the given option must be decided based on various information.

Demand
On this page, a decision on forecasting demand must be taken. It will be a reference towards ordering the material and planning revenue.

Investment
Various options to make the experience better for customers are provided on this page. The decision on target market, product mix and quality are present.

Marketing
The price, promotion and service are the decision to be made on this page. These factors will impact the number of customers visiting your shop.

Reports
The performance of your decisions will be available in this section. It will provide a detailed report on the company's performance as well as on your decision-making ability.

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

2.2 Market

Introduction
Market
Location
Demand
Investment
Marketing
Decision Checklist
Report
Synopsis



Setting up a tea retail shop in India's thriving market offers significant opportunities. With a market size of around INR 26,500 crore (approximately USD 3.6 billion) in 2022, the Indian tea industry has experienced steady growth, driven by factors like increasing disposable income and changing consumer preferences. The compound annual growth rate (CAGR) of the tea market in India is estimated to be around 5-6% during the forecast period of 2021-2026.

Tea is widely accessible throughout India, with a strong distribution network that reaches both urban and rural areas. The country's vast population ensures consistent demand across various regions. The supply chain involves tea producers, auctions for trade, tea exporters, packers and processors, and distributors and retailers.

As an entrepreneur, setting up a tea shop in the Bangalore market presents a promising opportunity. Bangalore, known for its education and technology sectors, provides a sizable consumer base. Consider catering to diverse preferences by offering a range of teas and innovative blends. Create an appealing ambience, focus on quality sourcing, and ensure efficient distribution to reach customers effectively. Stay attuned to market trends, adapt to changing consumer demands, and provide excellent customer service to establish a successful tea retail business in Bangalore.



Before initiating your decision-making process, it is crucial to thoroughly review the "Market" section. This segment provides critical insights into the market developments and case scenarios.

2.3 Location

Location ②

Select one of the locations:

	 Jayanagar - Bengaluru University	 Whitefield - ITPL Corporate Park
Target Audience:	College Students & Faculties	Corporate Employees
Footfall Potential:	High	Moderate to High
Competition:	Premium and standard tea and cafes	Premium tea and cafes
Consumer Spending:	Limited, price sensitivity is higher	Higher, potential for premium offerings
Operating hours:	Extended hours due to students schedule	Standard office hours, potential rush on breaktime
Menu offering:	Quick bites, affordable options, unique and trendy tea	Grab and go, healthy alternatives and premium teas
Marketing:	Student partnerships & events	Student partnerships & events
Space Requirements:	Seating/standing for groups, student friendly ambience	Space for meetings and comfortable seating for professionals
Seasonal Variation:	Reduced footfall during college holidays	Fluctuation based on corporate events & holidays
Rental per month (includes licence fees), INR	80000	120000

- Location Decisions:** This involves choosing the most suitable location for establishing the business. Two location options are available, each with unique benefits based on factors like the target audience, potential foot traffic, competition, consumer spending, rental requirements, and other relevant parameters. Through a thorough SWOT (Strengths Weaknesses Opportunities Threats) analysis of both options, participants can identify the optimal choice.

Licensing & Regulation ②

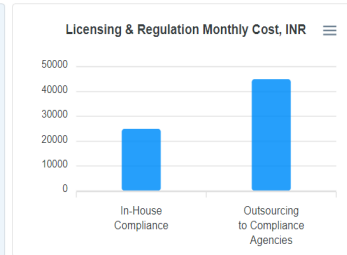
Licensing and regulation are vital for operating a tea retail store in any location to ensure adherence to health, safety, and quality standards set by authorities. They provide legal authorization and foster trust among consumers, ensuring they receive safe, authentic products. Obtaining permits will involve food and beverage licenses, and business operating licenses.

☐ In-House Compliance

The company will hire one resource who will have complete oversight over the store's compliance needs. The resource will provide customized solutions as per the business needs. The one drawback would be without expert insights there may be blind spots which will cause delays in operations. [Hide all](#)

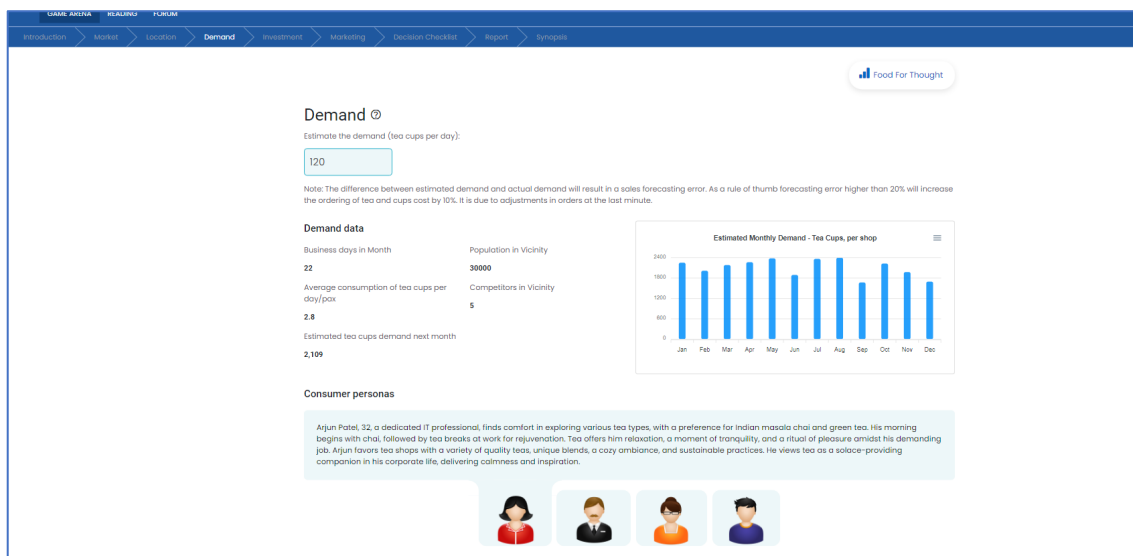
☒ Outsourcing to Compliance Agencies

The outsourcing agency is ISBI Bank, these professionals are trained to stay up to date on changing regulations. There is the possibility of a quicker turnaround on getting compliant due to their experience. The drawback is they are expensive and relying on a third party for compliance might not always align with the company's business objective. [Hide all](#)



- Licensing & Regulation:** This requires making decisions about the necessary licenses and adhering to regulations for operating the business in any location. These measures ensure alignment with health, safety, and quality standards set by authorities, granting legal authorization and fostering consumer trust in the delivery of safe and authentic products. This process includes obtaining permits and business operating licenses. After assessing both available options, participants can choose the most suitable one in this category as per business requirements.

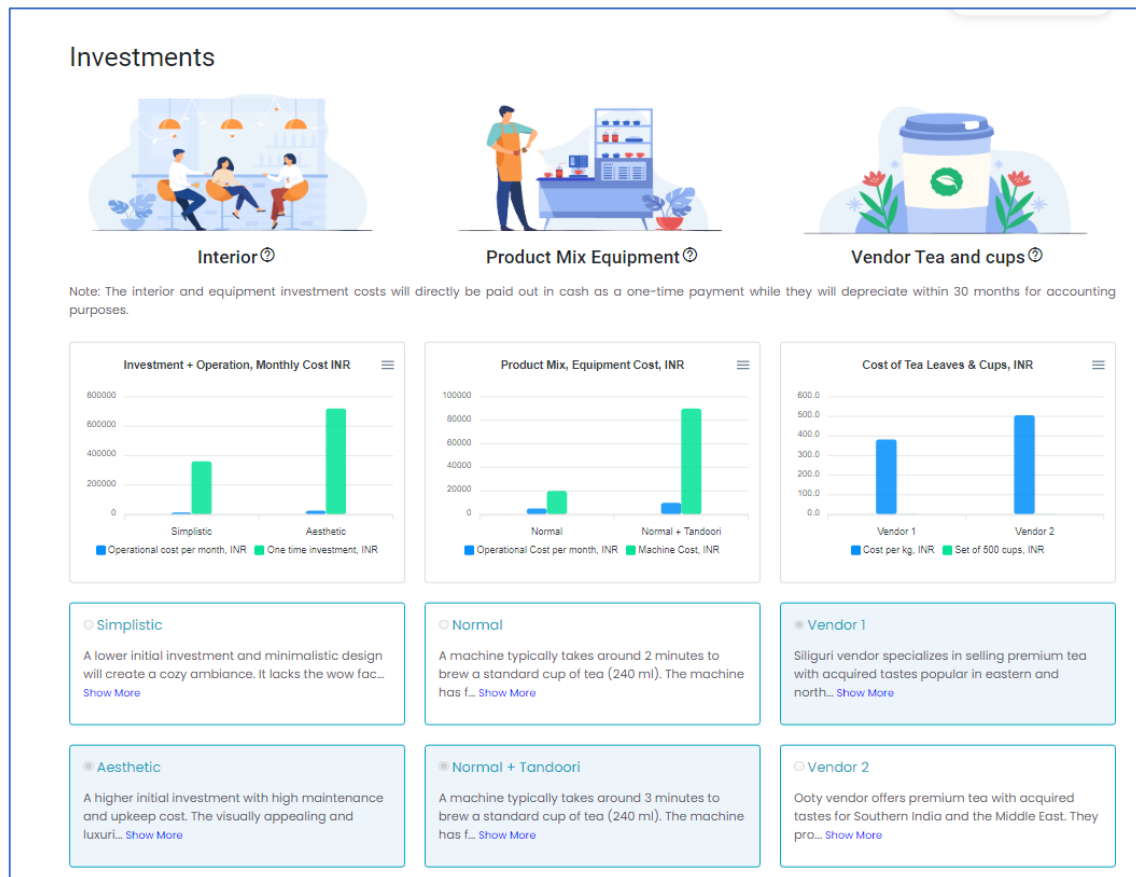
2.4 Demand



On this page, a decision on forecasting demand must be taken. It will be a reference towards ordering the material, budgeting, and planning revenue. The demand data provided will aid in the decision-making process. Business days in Month, Population in Vicinity, Consumer personas etc.

Sales forecasting Error: The difference between estimated and actual demand will result in a sales forecasting error. As a rule of thumb forecasting error higher than 20% will increase the ordering of tea and cups cost by 10%. It is due to adjustments in orders at the last minute.

2.5 Investment



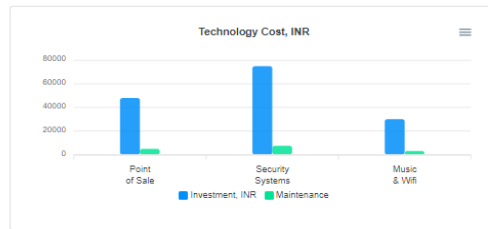
This section involves decisions related to design, product mix, and vendor selection. The costs for interior and equipment investments will be directly paid as a one-time cash payment, while for accounting purposes, they will depreciate over 30 months.

Interior: The decision of the interior will depend on the cost while looking at the target audience and the objective of the company.

Product mix equipment: The decisions to launch single and multiple products will depend on the cost, maintenance, target consumer and objective.

Vendors: The decision to select the vendor is a trade-off between quality and cost depending on the target consumers.

Technology ②



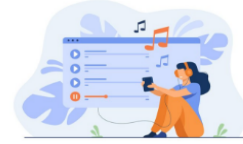
Point of Sale

It will help to manage inventory efficiently thereby reducing the cost of storage, sales opportunity loss and forced discounts.



Security

It will deter potential criminals, provide a safe environment for employees & customers, operational insights, and asset protection.



Music & Wifi

It enhances the ambience, encouraging customers to linger and relax, while also catering to the digital age's connectivity needs, potentially increasing sales and repeat visits.



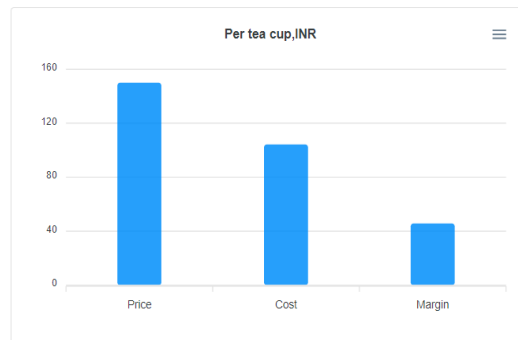
Participants need to decide whether to integrate technology to enhance the efficiency of business operations.

2.6 Marketing

Price ②

Set price per cup of tea, INR

150



Here, by analysing the Price vs. demand elasticity graph, the participant has to determine the price per cup of tea. The 2nd graph from the left keeps changing based on the factors decided in the simulation providing an idea of the margin.

Promotion ②

Monthly Promotional Budget, INR

1200

Demand vs Promotion, Elasticity

Promotion Budget	% of consumers attracted based on promotion
1000	10%
2000	20%
4000	40%
6000	55%
8000	65%
10000	70%
12000	75%
15000	80%

Social Media

Create thematic content like "Study Sips" or "Corporate Calm" for promotions, featuring advantages to the target market. Engages digitally-savvy promoting the café as their go-to spot for relaxation or focused work.

☐

Local Advertising

Place ads in newsletters or bulletins boards, highlighting discounts for target customers. It directly targets and incentivizes the primary audience, driving them to visit with exclusive offers tailored to their group.

☐

Collaborations

Partner with clubs or events, offering a space for meetups or co-branded merchandise. It enhances the café's reputation as a community hub, fostering loyalty among the target group by catering to their specific needs.

☒

The promotion aspect requires determining the monthly budget allocated for promotional activities. It is essential to analyse the Demand vs. Promotion elasticity graph to make informed decisions about promotions. Three promotional activities are available, each offering unique advantages as a campaign within the promotion budget. The promotional budget gets equally divided between the campaigns. Participants have the flexibility to select the most suitable promotional activity that effectively attracts the target audience.

Service ②

Monthly Cost, INR

Service Type	Monthly Cost, INR
Self Service	20000
Table Service	60000

☐ Self Service

It reduces the need for staff assistance and improves service speed. It gives customers a sense of control over their experience, allowing them to customize and manage their choices. While r... [Show all](#)

☒ Table Service

It provides customers with direct interaction with waitstaff, allowing for personalized recommendations, attentive service, and a more tailored dining experience. Waitstaff can actively prom... [Show all](#)

Participants need to decide regarding the kind of service offered to customers. This choice should be grounded in a thorough evaluation of the advantages and disadvantages of various service options, considering the associated costs for each service. Insights from the monthly cost graph further play a role in making well-informed decisions.

2.7 Decision checklist

The Decision Checklist compiles all decisions made in each round of the game. This feature assists participants in reviewing their overall decisions under each tab, allowing them to make any necessary adjustments before the deadline. After completing the decision-making process, if participants choose to proceed with the Decision Checklist, they can submit their responses using the Submit option.

Decision Checklist

Round 1
 ▼

usertest100

Location

Location	Whitefield - ITPL Corporate Park
Licensing & Regulation	Outsourcing to Compliance Agencies

Demand

Demand Tea Cups per day	120
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Investment

Interior	Aesthetic
Product Mix	Normal + Tandoori
Procurement Vendor	Vendor 1
Point of Sale	Implemented
Security	Not Implemented
Music & Wifi	Implemented

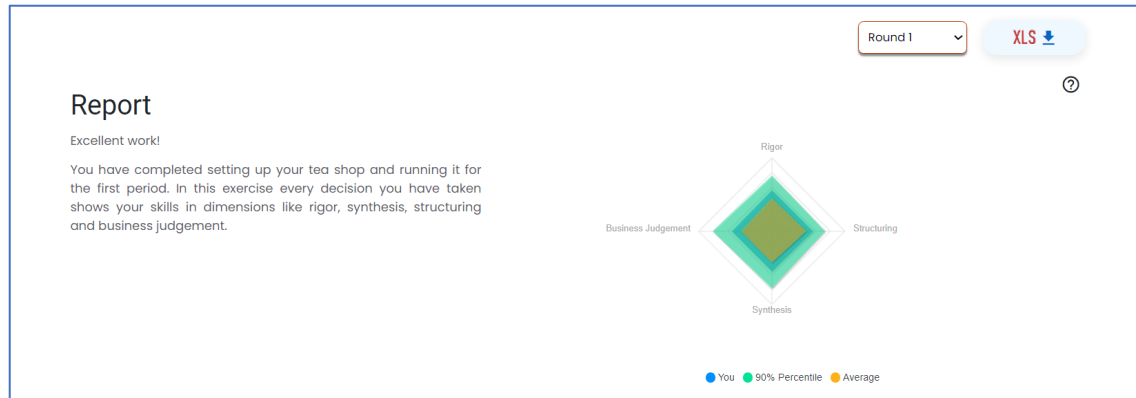
Marketing

Price per cup of tea, INR	150
Monthly Promotion Budget, INR	1200
Social Media Campaign	Not Launched
Local Advertising Campaign	Not Launched
Collaboration Campaign	Launched
Service	Table Service

Submit

2.8 Report

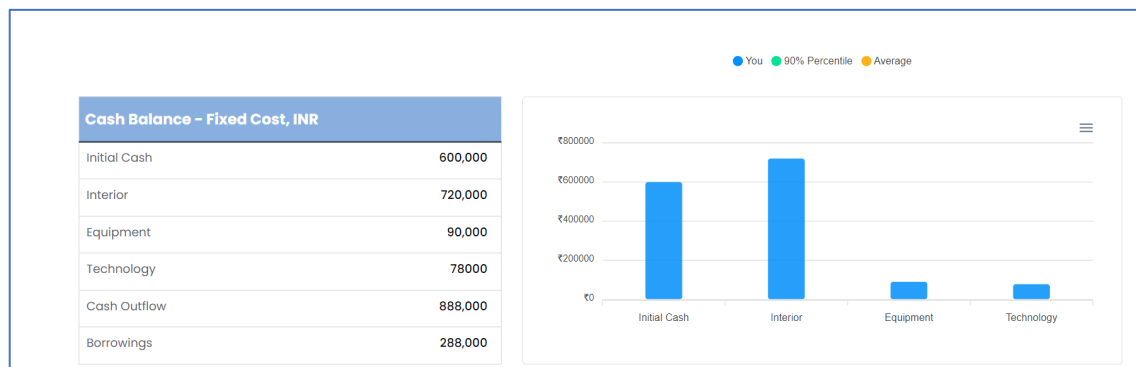
The report section consists of detailed information on how well the participant took the overall decision in setting up the business.



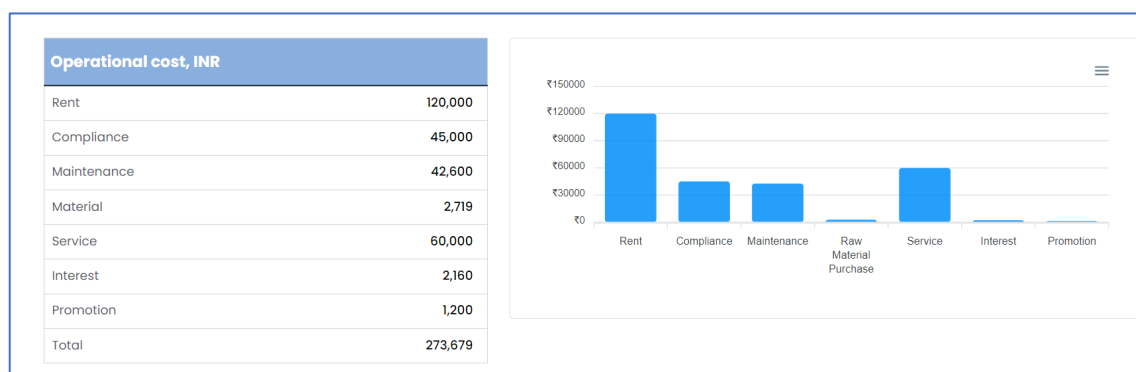
This section consists of feedback on the performance of the participant based on four metrics.

- **Rigour:** Consistency throughout the decision-making and recommendation.
- **Structuring:** Logical approach of gathering and analysing information
- **Synthesis:** Approach towards interpreting information and making informed decisions
- **Business Judgement:** Ability to evaluate facts, and consider risks and possible implications when making decisions.

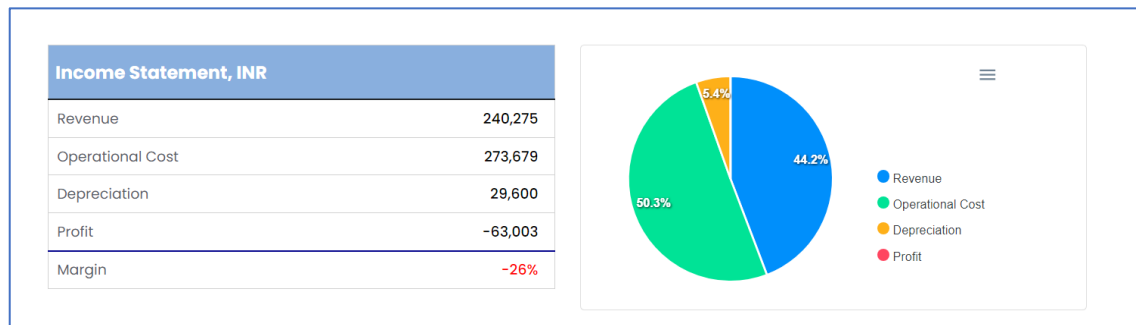
Cash Balance: This section includes a table and graph illustrating the diverse elements of fixed costs linked to establishing the business.



Operational Cost: This section includes a table and graph illustrating the total operational cost of the business.



Income Statement: This section includes a table and graph illustrating the income statement linked to establishing the business.



2.9 Synopsis

The synopsis section offers a summary of the overall decisions, accompanied by the report section, which incorporates Key Performance Indicators (KPIs).

